

Production Linked Incentive, or PLI, scheme of the Government of India is a form of performance-linked incentive to give companies incentives on incremental sales from products manufactured in domestic units. It is aimed at boosting the manufacturing sector and to reduce imports. Objective of these schemes entail Make in India, incentivising foreign manufacturers to start production in India and incentivise domestic manufacturers to expand their production and exports. The Government of India (GoI) has introduced Rs 1.97 lakh cr (US\$28 b) PLI schemes for 13 sectors. For example, one of these sectors is the Automotive industry in India, for which GoI introduced 3 schemes, a Rs. 26,000 cr (US\$3.61 b) scheme for production of electric vehicles and hydrogen fuel vehicles (PEVHV), the Rs 18,000 crore (US\$2.5 b) "Advanced Chemistry Cell" (ACC) scheme for new generation advance storage technologies for the electric vehicles, and Rs 10,000 crore (US\$1.4 b) "Faster Adaption of Manufacturing of Electric Vehicles" (FAME) scheme to go green by expediting production of more electric vehicles and replacement of other types of existing vehicles with the greener vehicles. The PLI scheme to boost automotive sector to encourage the production of electric vehicles and hydrogen fuel vehicles will also generate 750,000 direct jobs in auto sector. These schemes will reduce pollution, climate change, carbon footprint, reduce oil and fuel import bill through domestic alternative substitution, boost job creation and economy. Society of Indian Automobile Manufacturers welcomed this as it will enhance the competitiveness and boost growth.

By March 2025, the schemes had attracted ₹1.76 lakh crore (≈ USD 21 billion) in committed investment and created over 12 lakh (1.2 million) jobs, with government disbursements crossing ₹21,500 crore (≈ USD 2.6 billion). Key sectors such as electronics and components, white goods, and automobile & auto-components have driven much of this expansion. Electronics production rose from ₹2.13 lakh crore (≈ USD 26 billion) in FY 2021 to ₹5.25 lakh crore (≈ USD 63 billion) in FY 2025 under PLI support. The white-goods scheme (₹6,238 crore ≈ USD 750 million) secured more than ₹6,600 crore (≈ USD 800 million) in investment commitments and

aims to raise domestic value-addition in ACs and LEDs. The auto-components PLI attracted about ₹29,500 crore (≈ USD 3.5 billion) and generated nearly 45,000 jobs by early 2025.

In March 2025, the Indian Cabinet approved a ₹22,919 crore (≈ USD 2.75 billion) Production-Linked Incentive (PLI) scheme for non-semiconductor electronics components, marking a major push to build a domestic component ecosystem. The scheme targets critical items such as multi-layer PCBs, display and camera modules, lithium-ion cells, resistors, capacitors, and inductors. Over its six-year tenure, it is expected to attract ₹59,350 crore (≈ USD 7.1 billion) in investment, generate ₹4.56 lakh crore (≈ USD 54 billion) in production, and create 91,600 direct jobs with additional indirect employment. By October 2025, electronics-parts makers had committed more than ₹1.15 lakh crore (≈ USD 13.6 billion) across 249 applications, reflecting strong industry response. The government also approved a first batch of seven component-manufacturing projects worth ₹5,500+ crore (≈ USD 660 million), covering multi-layer PCB and camera-module plants and expected to create over 5,100 direct jobs. By January 2026, the Government of India approved 22 proposals under ECMS with a projected investment of ₹41,863 crore (≈ \$5.0 billion), estimated production worth ₹2.58 lakh crore (≈ \$31 billion), and creation of about 33,791 direct jobs. The approved projects are spread across Andhra Pradesh, Haryana, Karnataka, Madhya Pradesh, Maharashtra, Tamil Nadu, Uttar Pradesh and Rajasthan.

List of industries

The government has introduced the scheme for several industries which include:

Auto components

Automobile

Aviation

Chemicals

Electronic systems

Food processing

Medical devices

Metals & mining

Pharmaceuticals

Renewable energy

Telecom

Textiles & apparel

White goods

Drones

See also

Make in India

PM MITHRA

== References ==